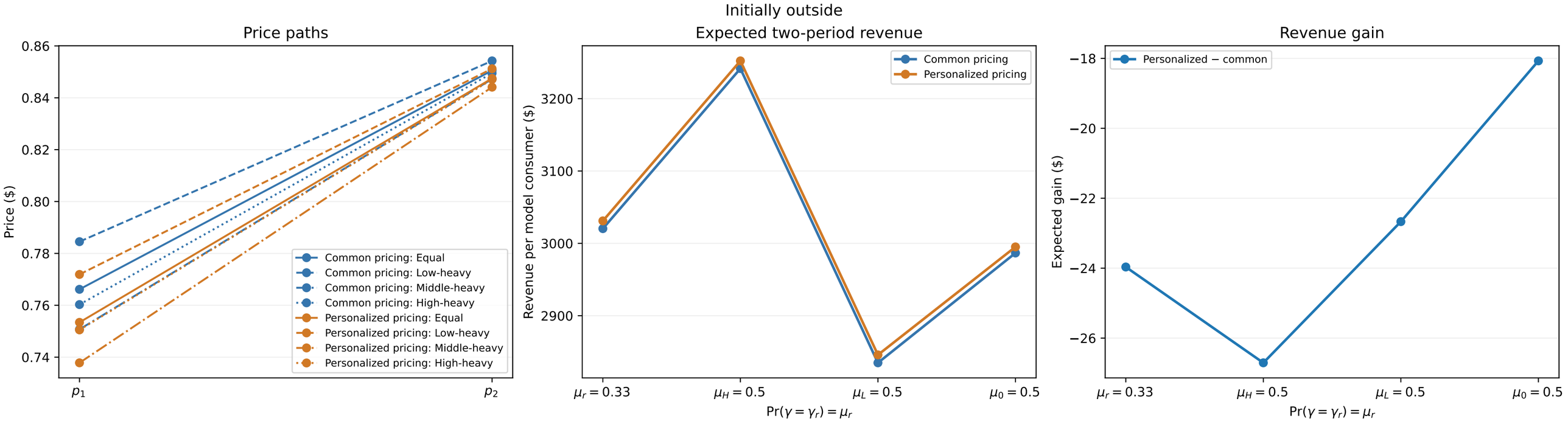
Initially outside
Price paths
Price ($)
0.86
0.84
0.82
0.80
0.78
0.76
0.74
p_1
p_2
Common pricing: Equal
Common pricing: Low-heavy
Common pricing: Middle-heavy
Common pricing: High-heavy
Personalized pricing: Equal
Personalized pricing: Low-heavy
Personalized pricing: Middle-heavy
Personalized pricing: High-heavy
Expected two-period revenue
Revenue per model consumer ($)
3200
3100
3000
2900
Common pricing
Personalized pricing
$\mu_r = 0.33$
$\mu_H = 0.5$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$
Revenue gain
Expected gain ($)
−18
−20
−22
−24
−26
Personalized − common
$\mu_r = 0.33$
$\mu_H = 0.5$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$